

Analysis Framework

Grade	Position Size
85+	2.5%
80-84	2%
75-79	1.5%
70-74	1%
65-69	0.5%
Less than 65	Avoid

Undervalued Small and Mid Cap (Market Cap < \$10 billion)

Metric	Points
Earnings Trend TTM (shows profitability growth)	First profitable year: 10 points Loss narrowing/Near break-even: 8 points Stable profitability: 5 points Deepening losses: 0 points
Institutional Ownership (In before the big players, but not entering value traps)	25-50% = 10 points 50-60% = 6 points Over 60% or Under 25% = 0 points
P/B vs Sector (shows over/undervaluation compared to industry)	30-60% below peers = 10 points 10-30% below peers = 8 points Equal = 5 points Above peers = 0 points
Revenue Growth Trend YoY (shows revenue growth)	Negative to flat to positive = 10 points Explosive +30% growth = 8 points Stable growth = 5 points Declining = 0 points
Margin Expansion (shows company is keeping more money from each sale)	Expanding Over 3% YoY = 10 points Stable by rising = 7 points Flat/Declining = 0 points
Free Cash Flow (shows how much cash the company has left after costs)	Recently turned positive = 10 points Stable = 6 points Negative but improving = 3 points Negative = 0 points

Bonus	Insider activity = 10 points Short interest dropping >10% = 10 points Product/Contract news = 10 points
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Oversold Large Cap (Market Cap > \$10 Billion)

Metric	Points
Forward P/E vs 5y Avg (shows if the market is valuing the company's earnings cheaper or richer than normal)	Over 20% below 5y avg = 10 points 10-20% below = 8 points Equal = 5 points Above = 0 points
Revenue Trend (shows increase in revenue)	Turning positive after decline = 10 points Decline slowing/flattening = 8 points Stable but low = 5 points Falling = 0 points
Free Cash Flow (shows how much cash the company has left after costs)	Rebounding = 10 points Stable but still down = 5 points Negative = 0 points
Operating Margin Trend (shows ability to generate profits based on operations)	Expanding after 2+ years of down quarters = 10 points Stable = 6 points Still declining = 0 points
Debt/Equity	Under 1 = 10 points 1-1.5 = 4 points Over 1.5 = 0 points
Institutional Ownership (In before the big players, but not entering value traps)	50-80% = 10 points 30-50% = 3 points Under 30% or over 80% = 0 points
Bonus	Insider activity = 10 points Short interest dropping >10% = 10 points Product/Contract news = 10 points

Technical Analysis

Time Frame	Use Case
1Y / 1M	Identify long-term trend & value zones
5D	Check trend reversal, moving average crossovers
1D	Entry/exit timing & volume confirmation

Indicator	How To Use
Price vs MAs	Price near 200MA base = 8 points Price over 200MA but under 50MA = 5 points Price over 50MA = 3 points Price under 200MA = 0 points
RSI (14)	0-30 = 7 points 30-45 = 4 points 40-55 = 2 points Over 70= 0 points
Volume	Rising volume for 3+ green days = 10 points Rising volume (green and red days) = 6 points High volume breakouts = 3 points Declining/Flat = 0 points
Support/Resistance Zones	Bounced off long-term support (at least 5%) = 8 points Broken through lowest resistance or second support = 6 points Mid-range between support/resistance = 4 points Below support or above highest resistance = 0 points
Chart Pattern	Cup & Handle, Flag, or Ascending Triangle = 7 points Double bottom or Base breakout = 4 points Range-bound but tightening = 2 points Random = 0 points